Financial Reporting and Accounting Project Part 1

Company: Columbia Sportswear Company

Competitor: Under Armor

ACCT1209

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Company Background

Company Overview

Colombia Sportswear Company is an American outdoor apparel and footwear company headquartered in Portland, Oregon. The company designs, manufactures, and markets outdoor clothing, footwear, accessories, and equipment. Its products are designed for activities such as hiking, skiing, camping, fishing, and other outdoor recreation. Columbia distributes its products globally through wholesale partners, company-owned retail stores, and e-commerce platforms

Exchange

The company's stock trades on the NASDAQ Stock Market under the ticker symbol COLM.

Auditor

The independent auditor for Columbia Sportswear Company is Deloitte & Touche LLP.

The purpose of the auditor's report is to provide an independent opinion on whether the company's financial statements are presented fairly, in all material respects, in accordance with U.S. Generally Accepted Accounting Principles (GAAP).

Products/Services

Columbia Sportswear sells a wide range of outdoor products, including outdoor jackets and insulated apparel, footwear and hiking boots, outdoor accessories such as hats, gloves, and backpacks, and technical outdoor gear designed for cold weather and performance activities. The company also owns several outdoor brands, including Columbia, Sorel, Mountain Hardwear, and prAna.

Competitors

Columbia Sportswear operates in a highly competitive outdoor apparel industry. Major competitors include: Under Armour, Nike, The North Face, and Patagonia. These companies

compete on product innovation, brand recognition, pricing, and distribution channels.

Stock Price and Trend

Columbia's fiscal year ends on December 31. According to the Wall Street Journal's market data, Columbia Sportswear Company (COLM) closed at approximately $87.58 on December 31, 2024. At the end of the previous year, the company's stock closed at approximately $98.10 on December 29, 2023, which was the final trading day of the year.

Comparing these values shows that the stock price fell 10-11% over the year. Overall, the company's share price followed a downward trend during 2024.

Industry and Developments

Demand Trends

Demand for products sold by Columbia Sportswear Company is influenced by broader trends in the outdoor apparel industry, which has experienced steady growth in recent years. One important driver of this demand is the increasing number of people participating in outdoor activities such as hiking, camping and skiing, all of which require special clothing and equipment. Increased participation in these activities has led to greater consumer spending on outdoor apparel.

Spending on outdoor apparel has also been supported by the growing popularity of athleisure, where consumers wear athletic clothing every day rather than just for specialized activities.

Demand for outdoor apparel can also be influenced by economic conditions because many of these products are considered discretionary purchases. Seasonal weather patterns may also affect sales, since colder conditions typically increase demand for insulated clothing and winter gear.

Finally, improvement in supply chains and ongoing innovation in fabric and technologies have helped outdoor apparel companies maintain consumer interest in their products

Two Significant Events

Expansion of Direct-to-Consumer and International Sales

A major development affecting Columbia Sportswear has been the growth of its direct-to-consumer (DTC) sales channels alongside its traditional wholesale distribution. The company's Form 10-K explains that its direct-to-consumer distribution channel includes its own network of branded and outlet retail stores as well as brand-specific e-commerce websites.

In addition to these channels, the company continues to sell products through wholesale customers and other distribution partners around the world. Columbia operates as a global outdoor apparel company with business activities across multiple geographic regions, including North America, Europe, and Asia.

Expanding these channels is important because it allows the company to reach more customers and strengthen its presence in international markets. Direct-to-consumer sales can also provide companies with more control over branding, pricing, and relationships with consumers.

Product Innovation and Technology in Outdoor Apparel

Another key development for Columbia is its continued focus on product innovation and performance technologies. Columbia designs and markets outdoor apparel, footwear, and equipment intended for use in active outdoor environments. The company incorporates proprietary materials and technical features into its products to improve performance and functionality for outdoor activities. These technologies are integrated into Columbia's apparel and footwear to help differentiate its products in the competitive outdoor apparel market.

Focusing on innovation helps the company remain competitive because many consumers choose outdoor products based on performance features, durability, and weather protection.

Revenue and Profit Analysis

Revenue Growth

Columbia Sportswear's net sales were $3,126.4 million in 2021, $3,464.2 million in 2022, $3,487.2 million in 2023, $3,368.6 million in 2024, and $3,397.4 million in 2025.*The annual revenue growth rates were:*

2022 vs. 2021 = (3,464.2 - 3,126.4) / 3,126.4 = 10.8%

2023 vs. 2022 = (3,487.2 - 3,464.2) / 3,464.2 = 0.7%

2024 vs. 2023 = (3,368.6 - 3,487.2) / 3,487.2 = -3.4%

2025 vs. 2024 = (3,397.4 - 3,368.6) / 3,368.6 = 0.9%

These figures show strong revenue growth in 2022, almost no growth in 2023, a decline in 2024, and a slight recovery in 2025. Overall, Columbia's revenue remained relatively stable over the period, although its growth rate slowed. The decline in 2024 appears to be connected to softer business conditions, especially in the U.S. and Canada, while 2025 showed only a modest rebound.

Net Income Growth

Columbia Sportswear's net income was $354.1 million in 2021, $311.4 million in 2022, $251.4 million in 2023, $223.3 million in 2024, and $177.2 million in 2025.

The annual net income growth rates were:

2022 vs. 2021 = (311.4 - 354.1) / 354.1 = -12.1%

2023 vs. 2022 = (251.4 - 311.4) / 311.4 = -19.3%

2024 vs. 2023 = (223.3 - 251.4) / 251.4 = -11.2%

2025 vs. 2024 = (177.2 - 223.3) / 223.3 = -20.6%

Net income declined every year during this period. This shows a negative earnings trend, since profit fell much faster than sales. Even though Columbia's revenue stayed within a fairly narrow range, profitability weakened because of higher operating costs and impairment charges. In 2025, the company reported a $29.0 million impairment charge related to prAna and Mountain Hardwear, which further reduced earnings.

Gross Margin Calculations

Gross margin is calculated as gross profit divided by net sales.

Columbia's gross margin was:

2022 = 1,711.1 / 3,464.2 = 49.4%

2023 = 1,729.9 / 3,487.2 = 49.6%

2024 = 1,691.1 / 3,368.6 = 50.2%

2025 = 1,716.7 / 3,397.4 = 50.5%

These results show a gradual improvement in gross margin over the four-year period. This suggests that Columbia became slightly more efficient at managing product costs relative to sales. However, the stronger gross margin did not lead to higher net income because selling, general, and administrative expenses increased, and overall earnings remained under pressure.

Assets and Inventory

Columbia Sports primarily employs its resources through a global network of contract manufacturers, with significant production in Asia. Approximately 85% of apparel is manufactured in Vietnam, Bangladesh, Indonesia, and India, while 95% of footwear is produced in Vietnam and China.

Current assets:	2025 Cash ($)	Percentage (%)
Cash & cash equivalents	442,028	15.10%
Short-term investments	348,766	11.90%
Account receiveable	403,168	13.80%
Inventories	689,456	23.50%
Prepaid expenses and other current assets	89,080	3.00%
Total current assets	1,972,498	
Property, plant and equipment, net	279,131	9.50%
Operating lease right-of-use assets	425,492	14.50%
Intangible assets, net	71,221	2.40%
Goodwill	5,694	0.20%
Deferred income taxes	108,127	3.70%
Other non-current assets	66,330	2.30%
Total assets	2,928,493	

Based on the balance sheet from the Securities and Exchange Commission, the three largest individual assets are Inventories, Cash & Cash equivalents, and Operating lease right-of-use assets. The reason why Columbia needs to have these assets as part as their business because:

Inventories: Maintaining inventory is a critical asset management strategy for Columbia Sports, allowing them to balance high seasonal demand with operational efficiency. For example, as of December 31, 2025, Columbia's inventory was $689.5 million. While the dollar value was

flat year-over-year, actual units decreased by 11%, indicating a higher-quality inventory. This balance allowed the company to satisfy consumer demand and navigate manufacturing constraints while absorbing $23 million in tariff costs.

Cash & Cash equivalent: Maintaining a strong balance of cash and cash equivalents is critical for Columbia Sports to navigate the highly seasonal and competitive apparel industry, secure its supply chain, and fund strategic growth initiatives. For example, as of December 31, 2025, Columbia reported $442 million in Cash & Cash equivalent, allowing the company to maintain a "debt-free" balance sheet, providing the flexibility to absorb unforeseen costs, such as the $23 million in incremental tariffs, while ensuring it can fund daily operations and product innovation without relying on external financing.

Operating lease right-of-use assets: Maintaining Operating Lease Right-of-Use assets is an essential strategy for Columbia Sports, as it provides the physical infrastructure necessary to reach global consumers without the massive capital drain of property ownership. For example, as of December 31, 2025, Columbia reported $425.5 million in ROU assets. This balance represents the company's long-term "right to use" its global network of branded stores and warehouses which allows them to maintain the financial flexibility to relocate to high-traffic areas as market trends shift, while preserving its cash reserves for product innovation and marketing.

Depreciation

Columbia uses the Straight-Line method for depreciation. This means the company spreads the cost of an asset evenly over its estimated useful life. It uses the same method for all of its long-lived Property, Plant, and Equipment (PP&E) assets through a timeline with Land Improvements for 15 years, Buildings & Building Improvements for 15-30 years, Furniture & Fixtures for 3-10 years, Machinery, Software, and Equipment for 3-10 years. Leasehold

Improvements are depreciated over the shorter of the useful life (commonly 7 years) or the remaining lease term. The information was found under the Securities and Exchange Commission, under item 8, Note 2 of summary of significant accounting policies.

Inventory valuation

Columbia uses the First-In, First-Out (FIFO) method to value its inventory. The FIFO method assumes that the oldest items in the warehouse are the ones sold first. The reason why Columbia uses the FIFO method is because in the fashion and outdoor gear industry, it is standard practice to sell through "last season's" gear before moving onto the newest styles. FIFO closely mimics this actual physical movement of goods.

Inventory turnover

2023: 746,288, **2024: $**690,515**, 2025: $**689,456

	2024	2025
Cost of Goods	1,677,497	1,680,629
Average Inventory	718,389	689,985.50
Inventory Turnover Ratio (COGS/AvgInv)	2.33508169	2.435745389

The inventory turnover ratio increased from 2.33x in 2024 to 2.44x in 2025 which shows that Columbia has improved its efficiency by selling and replacing its stock more quickly. Additionally, this trend suggests that Columbia is doing a better job of clearing out older products to make room for newer, high-demand collections, reducing the risk of future markdowns.

Financing and Equity

Liabilities vs Equity

Columbia Sportswear's financial structure needs to be analyzed by comparing the total liabilities and stockholders' equity as a percentage of the total assets. Looking at the consolidated Balance Sheet for 2025, these were the following values:

Item (Total)	**Amount (Thousands)**	**% of Assets**
Liabilities	1,218,350	41.6%
Stockholder's Equity	1,710,143	58.4%
Assets	2,928,493	100%

To calculate the liabilities percentage: 1,218,350/2,928,493 = 0.416

To calculate the equity percentage: 1,710,143/2,928,493 = 0.584

This means 41.6% of the company's assets are financed through liabilities and 58.4% through equity. This signifies that Columbia finances the majority of its assets through equity instead of debt. A higher proportion of equity suggests that the company relies less on borrowing. This can eventually reduce financial risk and provide greater financial stability.

Stockholders Equity

Looking at the statement of stockholders' equity, there can be changes seen in the owners' investment in Columbia Sportswear during the fiscal year. The main components of stockholders' equity are common stock, retained earnings, and accumulated other losses. Additionally, the company has preferred stock authorized, but none has been issued. This means the company could issue the preferred shares, but has not done so yet.

Retained earnings represent cumulative profits that the company has earned and chosen to keep within the business rather than distributing them to shareholders. Specifically, during the recent

fiscal year, stockholders' equity changed mostly due to the company's net income. This led to an increase in retained earnings. The equity can also decrease when the company pays dividends to shareholders. This returns a portion of the profit to investors.

Footnotes

An important footnote in Columbia Sportswear's financial statements is Note 3, which looks at the company's revenue structure. The note specifically breaks down the revenue by product category and sales channel. The majority of Columbia's net sales, approximately $3.4 billion in total net sales, came from apparel, accessories, and equipment. The apparel, accessories, and equipment accounted for about $2.71 billion, and footwear was about $685 million. This note also reflects how the company sells their products within two channels: wholesale and direct-to-consumer sales. Wholesale sales were equivalent to $1.78 billion, and direct-to-consumer sales were about $1.62 billion. This footnote is relevant because it provides a lens into where the company's revenue comes from. It also helps investors better understand which exact products and sales channels drive the company's financial performance.

Another important footnote is Note 8, which assesses Columbia Sportswear's lease agreements. The company leases large amounts of its retail stores, offices, and distribution facilities instead of owning them. Their total lease costs reached about $186.9 million in 2025. Total operating leases were also reported to be about $477.7 million by the company. This shows the long-term obligations for leased locations. The average remaining lease term is about 6.31 years, meaning the leases are an ongoing commitment for the company. This footnote helps investors understand the company's long-term financial obligations in terms of the retail stores and distribution network.